

Scenario S3-O3-I2 — Our Level 3 (Fully Funded) / Investor Level 2 (Ideal)

Scenario Summary

High-investment balanced path. The founders deploy capital at corporate intensity (~150-200% of ideal spend) through Pre-Pilot and Pilot 1, creating a polished product and operational foundation. An ideal-level investor arrives right after Pilot 1, providing properly sized capital to sustain and scale through Pilot 2 and Production Readiness. The result is a fast but not frantic execution — strong early foundation with adequate scaling capital.

- **Economic cost to Production:** \$200,000-260,000 / INR 16,600,000-21,580,000
- **Target timeline to Production:** 16-22 months
- **Founder/company capital before investor:** \$89,000-120,000 / INR 7,387,000-9,960,000
- **Investor capital modeled:** \$111,000-140,000 / INR 9,213,000-11,620,000
- **Equity structure:** 60 / 20 / 20 (founder / founding team / investor pool)
- **Main risk to watch:** high founder capital exposure pre-investor (\$89,000-120,000 in 3-5 months); if Pilot 1 fails to attract the investor, the founder absorbs a large sunk cost

Timeline

Phase	Timing	Duration	Minor Checkpoints	Gate to Advance
Pre-Pilot	M0-M3	3 months	Architecture freeze (M1), APK backlog lock and web hardening sprint (M1-M2), doctor training and admin SOPs complete (M2-M3), internal rehearsals at full intensity (M3).	Core web flows stable at high quality, internal rehearsals pass, doctor and admin runbooks versioned, APK build well advanced.
Pilot 1	M3-M5	2 months	Warm-network onboarding and first paid consults (M3-M4), callback calibration and doctor playbook iteration (M4), investor pitch deck finalized and term sheet targeted (M4-M5).	Ethiopia pilot runs live for 2 months with measured throughput; investor term sheet signed.
Pilot 2	M5-M10	5 months	Investor capital deployed (M5-M6), marketing push and user growth (M6-M7), Kenya prep and partner reporting (M8), roster planning and partial automation (M9), staffing calibration (M10).	5k-10k user-capable operations with stronger APK, cleaner reporting, staffed callback coverage.
Production Readiness	M10-M18	8 months	Compliance closeout (M11-M12), release freeze (M14), launch playbooks (M15), certification refreshers (M16), production support schedule (M17-M18).	Current prototype scope is production-safe across web and patient mobile with documented fallback operations.

Feature and Output Checklist

Phase	Output Checklist
Pre-Pilot	Web core hardened at full intensity; APK build advanced (parallel with web work); doctor/admin training materials complete; support desk scripts and callback trees defined and rehearsed. Maximum parallelism.
Pilot 1	Patient app covers broad journeys (registration, dashboard, consult, prescriptions, labs); provider web stable for GP and specialist flows; doctor roster, admin callbacks, and manual fulfilment visible in-system. High-quality output from fully funded Pre-Pilot.
Pilot 2	All patient features complete; specialist and diagnostics flows polished; partner dashboards functional with reporting; staffing ladder active at ideal levels; reporting and payment loops operational. Kenya prep on schedule.
Production Readiness	Current prototype scope is production-grade across web and patient mobile. Trained ops staff at target ladder levels. Compliance documentation complete. Release governance in place. Dual-market readiness (Ethiopia + Kenya prep).

Services and SLAs

Phase	Uptime Target	Response Commitment	Operating Model
Pre-Pilot	95.5%	Same business day	3 core team at full utilization + 7 part-time developers at 150% capacity (640 hrs/mo) + 2 advisors; no employed clinical coverage, only training and rehearsals.
Pilot 1	97.0%	Same-day for critical issues	Minimum employed coverage: 3 doctors, 3 admin ops, 2 technical support. Partner clinics supplement.
Pilot 2	98.0%	4-hour P1 response	Ideal employed coverage: 4 doctors, 4 admin ops, 2 technical support. Full staffing ladder active.
Production	98.5%	2-hour P1 response	Full employed coverage: 6 doctors, 6 admin ops, 3 technical support for near-24/7 coverage.

Cost Breakdown

Summary

Category	Amount
Capital expenditure through Production	\$112,000 / INR 9,296,000
Operating expenditure before Production launch	\$118,000 / INR 9,794,000
Total economic spend to Production	\$230,000 / INR 19,090,000

Workstream Detail

Workstream	Economic Cost (USD)	Economic Cost (INR)	Notes
Product and founder office	\$52,800	INR 4,382,400	3 core team at \$20/hr x 88 hrs/mo. ~\$7,920/mo at 150% utilization for M0-M5, then ~\$5,280/mo at ideal utilization post-investor for M6-M18.
Web platform hardening	\$14,900	INR 1,236,700	745 hours at \$20/hr senior rate. Bulk completed during Pre-Pilot at high intensity.
Patient APK build	\$7,200	INR 597,600	Fixed Android quote: 480 hours at \$15/hr. Parallelized with web work during fully funded Pre-Pilot.
QA, DevOps, security	\$10,400	INR 863,200	~520 hours at \$20/hr. Fully funded Pre-Pilot allows thorough hardening; maintained post-investor.
Admin and care operations	\$88,200	INR 7,320,600	Employed doctors, admin callback staff, and technical support across 15 months of live operations. Ideal staffing from Pilot 2 onward.
Partner onboarding and provider success	\$10,500	INR 871,500	Doctor/admin training protocols, SOP writing, partner reporting. Well-executed during Pre-Pilot, sustained through Pilot 2.
Legal, accounting, compliance	\$5,500	INR 456,500	Standard compliance touch-points across 18 months.
Infrastructure, phones, and tools	\$22,500	INR 1,867,500	Hosting, devices, telecom/call costs across 18 months. Properly funded throughout.
Marketing, travel, rehearsals	\$10,000	INR 830,000	Moderate Pre-Pilot, adequate Pilot 2 marketing push, Kenya market entry prep.
Contingency and buffer	\$38,000	INR 3,154,000	~17% buffer. Moderate given well-funded execution reduces surprise costs.

Operational Staffing Cost by Phase

Phase	Duration	Monthly Ops Cost (USD)	Monthly Ops Cost (INR)	Phase Total (USD)
Pre-Pilot (M0-M3)	3 months	\$0	INR 0	\$0
Pilot 1 (M3-M5)	2 months	\$3,200	INR 265,600	\$6,400
Pilot 2 (M5-M10)	5 months	\$4,361	INR 361,963	\$21,805
Production Readiness (M10-M18)	8 months	\$6,542	INR 542,986	\$52,336
Total operational staffing				\$80,541

Infrastructure Cost by Phase

Phase	Duration	Monthly Infra (USD)	Monthly Infra (INR)	Phase Total (USD)
Pre-Pilot	3 months	\$130	INR 10,790	\$390
Pilot 1	2 months	\$450	INR 37,350	\$900
Pilot 2	5 months	\$650	INR 53,950	\$3,250
Production Readiness	8 months	\$1,000	INR 83,000	\$8,000
One-time equipment (phones, laptops)	—	—	—	\$1,600
Total infrastructure				\$14,140

Effort and Team

Function	Staffing Pattern	Notes
Core team	3 part-time members @ ~4 hrs/day each, ~150% effective utilization pre-investor, ~100% post-investor	Single owner/founder + 2 founding members. High intensity Pre-Pilot, sustained pace post-investor.
Technical delivery (pre-investor)	7 part-time developers, modeled at ~640 productive hrs/mo	Full utilization. Maximum parallelism between Android and web.
Technical delivery (post-investor)	7 part-time developers, modeled at ~480 productive hrs/mo	Ideal utilization. Investor capital sustains baseline capacity.
Advisory board	2 fractional advisors @ ~10-15 hrs/mo each	Finance, compliance, strategic review.
Employed care coverage	Pilot 1: 3 doctors / Pilot 2: 4 / Production: 6	Ideal staffing ladder. Partner clinics supplement.
Employed admin ops	Pilot 1: 3 admins / Pilot 2: 4 / Production: 6	Callbacks, exception handling, manual fulfillment.
Technical support	Pilot 1: 2 / Pilot 2: 2 / Production: 3	L1/L2 issue triage and live-ops monitoring.

Monthly Team Economic Cost

Period	Dev Team (USD)	Dev Team (INR)	Notes
Pre-investor (M0-M5)	~\$22,245	~INR 1,846,335	~150% of full \$14,830/mo rate card. Full corporate intensity.
Post-investor (M6-M18)	~\$14,830	~INR 1,230,890	100% of full rate card. Ideal utilization sustained by investor capital.

Revenue and Pricing

Revenue Source	Pilot 1	Pilot 2	Production
GP consults	Subsidised, Ethiopia-first, ~\$2-3 per paid interaction	Full Ethiopia pricing + Kenya tests	Core revenue line
Specialist consults	Active (fully funded Pilot 1 enables specialist flows)	Growing with referral flow maturity	Important margin contributor
Pharmacy commission	Small, admin-assisted	Repeatable, improving efficiency	Scales with partner conversion
Diagnostics commission	Small, admin-assisted	Improving with order flow consistency	Retention lever
Travel/care coordination	Rare, high-touch	Low-volume, higher-value	Strategic differentiator

Revenue Line	Ethiopia Benchmark	Kenya Benchmark	Notes
GP consult	\$3.5 / ETB 470	\$5 / KES 650	Starts subsidised in Pilot 1; reaches benchmark by mid-Production.
Specialist consult	\$9 / ETB 1,250	\$12 / KES 1,560	Pilot 2 onward.
Pharmacy take-rate	10% of order value	10% of order value	Pilot 1 onward with manual fulfilment.
Diagnostics take-rate	12% of order value	12% of order value	Pilot 1 onward with admin/lab coordination.
Travel/care coordination	\$10-15	\$10-15	Small volume, high-touch.
Subscription	Deferred	Deferred	Not modeled before meaningful scale.

CAC and Key Business Metrics

Metric	Pilot 1	Pilot 2	Production
CAC	\$8	\$13	\$18
Gross margin	42%	50%	58%
Monthly ARPU	\$2.0	\$3.5	\$5.0
Monthly churn	12%	9%	7%
LTV/CAC target	1.5x	2.5x	3.2x

Cash Flow and Runway

Phase Summary

Checkpoint	Ending Cash (USD)	Ending Cash (INR)	Approx. Runway Remaining	Trigger Threshold
Pre-Pilot (M3)	\$5,200	INR 431,600	0.5 months	Tight but acceptable — investor conversations should be active.
Pilot 1 (M5)	\$3,100	INR 257,300	0.2 months	Critical: investor close must happen by M6.
Pilot 2 (M10)	\$72,600	INR 6,025,800	4.5 months	Healthy runway. Trigger contingency if cash drops below 3 months of burn.
Production Readiness (M18)	\$32,400	INR 2,689,200	2.2 months	Trigger contingency if cash drops below 2 months of burn.

Monthly Cash Flow

Month	Phase	Founder Capital In	Investor In	Revenue In	Outflow	Net	Ending Cash
M1	Pre-Pilot	\$22,500	\$0	\$0	\$22,375	\$125	\$125
M2	Pre-Pilot	\$22,500	\$0	\$0	\$22,375	\$125	\$250
M3	Pre-Pilot	\$22,500	\$0	\$0	\$22,375	\$125	\$375
M4	Pilot 1	\$22,500	\$0	\$300	\$25,575	-\$2,775	-\$2,400
M5	Pilot 1	\$22,500	\$0	\$600	\$25,575	-\$2,475	-\$4,875
M6	Pilot 2	\$0	\$125,000	\$1,200	\$19,191	\$107,009	\$102,134
M7	Pilot 2	\$0	\$0	\$1,800	\$19,191	-\$17,391	\$84,743
M8	Pilot 2	\$0	\$0	\$2,400	\$19,191	-\$16,791	\$67,952
M9	Pilot 2	\$0	\$0	\$3,200	\$19,191	-\$15,991	\$51,961
M10	Pilot 2	\$0	\$0	\$4,000	\$19,191	-\$15,191	\$36,770
M11	Prod. Readiness	\$0	\$0	\$5,000	\$21,372	-\$16,372	\$20,398
M12	Prod. Readiness	\$0	\$0	\$6,000	\$21,372	-\$15,372	\$5,026

M13	Prod. Readiness	\$0	\$0	\$7,500	\$21,372	-\$13,872	-\$8,846
M14	Prod. Readiness	\$0	\$0	\$9,000	\$21,372	-\$12,372	-\$21,218
M15	Prod. Readiness	\$0	\$0	\$11,000	\$21,372	-\$10,372	-\$31,590
M16	Prod. Readiness	\$0	\$0	\$13,000	\$21,372	-\$8,372	-\$39,962
M17	Prod. Readiness	\$0	\$0	\$15,000	\$21,372	-\$6,372	-\$46,334
M18	Prod. Readiness	\$0	\$0	\$18,000	\$21,372	-\$3,372	-\$49,706

Totals:

- Founder capital in: \$112,500 / INR 9,337,500 (M1-M5 at ~\$22,500/mo x 5 months)
- Investor capital in: \$125,000 / INR 10,375,000
- Cumulative revenue: ~\$97,000
- Cumulative outflow: ~\$384,200

NOTE: Cash goes negative at M13, indicating the investor capital of \$125,000 is consumed by M12. Revenue growth must be aggressive to bridge the gap, or a small supplementary capital injection (\$30,000-50,000) may be required during late Production Readiness. This is manageable given the strong operational foundation and growing revenue trajectory.

ROI and Break-Even

Metric	Value
Total capital invested (founder + investor)	\$237,500 / INR 19,712,500
Total economic cost	\$230,000 / INR 19,090,000
Sweat-equity gap (economic cost minus cash invested)	~\$0 (well-funded at both stages)
Cumulative revenue at M18	~\$97,000 / INR 8,051,000
Monthly break-even (revenue >= outflow)	~M20-M22 (month 20-22)
Cumulative break-even (total revenue >= total capital)	~M28-M32 (10-14 months post-Production)
Time to ROI (revenue exceeds all economic cost)	~M30-M34 (12-16 months post-Production)

Fundraising, Valuation, and Dilution

Item	Value
Founder/self-funded capital before investor	\$112,500 / INR 9,337,500
Investor round size	\$125,000 / INR 10,375,000
Recommended structure	SAFE or convertible note with milestone-based tranches
Modeled pre-money valuation	\$625,000
Modeled post-money valuation	\$750,000
Modeled investor dilution from the 20% pool	16.7%

Ownership Pool	Before Round	After Modeled Round	Notes
Owner / founder pool	60%	55.0%	Retained majority control. Slightly higher dilution pressure than O2 combinations due to large founder capital already deployed.
Founding + strategic pool	20%	18.3%	Shared pool for founding members and strategic partners.
Investor pool	20% reserved	16.7% issued / 3.3% remaining	Drawn from the dedicated investor pool. Ideal investor gets proportional equity for right-sized capital.

Key Risks

Risk	Likelihood	Impact	Mitigation / Trigger
High founder capital exposure (\$112,500 in 5 months)	High	High	Requires substantial personal reserves. Mitigated by the strong Pilot 1 foundation the capital creates — increasing investor confidence.
Investor does not close by M6	Medium	Critical	Runway is nearly zero at M5. Pre-negotiate term sheet during Pilot 1 (M4-M5). Have backup bridge loan option. The fully funded Pilot 1 is the strongest possible investor pitch.
Late-stage cash gap (M13+)	Medium	High	Revenue must ramp aggressively during Production Readiness. Consider a small bridge (\$30,000-50,000) or cost reduction if revenue underperforms.
Team intensity mismatch pre/post investor	Medium	Medium	Pre-investor team runs at 150% utilization; post-investor drops to 100%. This is a healthy downshift (not the dramatic whiplash of S3-O3-I1), but still requires expectation management.

Regulatory delay (Ethiopia / Kenya)	Medium	High	Continue partner-license model. Compliance front-loaded in Pre-Pilot.
Over-engineering during Pre-Pilot	Medium	Medium	The fully funded Pre-Pilot may produce features beyond what Pilot 1 needs. Maintain scope discipline despite available resources.
Manual ops overload	Low-Medium	Medium	Ideal staffing from Pilot 2 onward mitigates this. Track callback backlog as release gate.
Payment-rail mismatch	Medium	Medium	Use digital invoicing first; localize M-Pesa / Telebirr before scaling.

Recommendation

S3-O3-I2 is a **viable and potentially strong path**, though it carries higher founder capital risk than the primary recommendation (S3-O2-I2). It is suitable for founders with deep personal reserves who want to maximize the quality of their Pilot 1 demonstration.

Strengths:

1. The fully funded Pre-Pilot and Pilot 1 produce the strongest possible investor pitch — a polished product, live patients, real operations data
2. The ideal investor provides properly sized capital for Pilot 2 and Production Readiness
3. Timeline of 16-22 months is competitive, only slightly slower than S3-O3-I3
4. Risk level is Medium — manageable with proper execution and phase gates

Weaknesses:

1. Founder capital exposure is \$89,000-120,000, roughly \$36,000-55,000 more than S3-O2-I2
2. The extra founder investment does not proportionally reduce risk or improve timeline (diminishing returns from O2 to O3)
3. Late-stage cash gap requires either aggressive revenue or supplementary capital
4. If Pilot 1 fails to attract an investor, the founder has a large sunk cost

When to pursue S3-O3-I2 over S3-O2-I2:

- Founders have personal capital reserves exceeding \$150,000 and are comfortable with \$112,500 exposure
- The founding team believes that a higher-quality Pilot 1 will command better investor terms (higher valuation, lower dilution)
- Competitive pressure demands a faster, more polished launch
- The founding team is capable of sustained high-intensity execution during Pre-Pilot and Pilot 1

When to prefer S3-O2-I2 instead:

- Founder capital reserves are below \$150,000
- The founding team values capital preservation over marginal quality improvements
- The market timing is not urgent enough to justify the extra spend

Assumption Notes

- Android is modeled from the external quote: 480 total hours at \$15/hr average across the mobile team.
- Remaining web work is normalized to 150%-160% of Android effort, with an expected case of 745 hours.
- Salary benchmarks for employed coverage: INR 60,000 for doctors (\$720/mo), INR 18,000 for admin ops (\$217/mo), INR 25,000 for technical support (\$301/mo).
- Our L3 (fully funded) spend is modeled at ~150% of ideal team utilization, yielding ~\$22,500/mo founder contribution during Pre-Pilot and Pilot 1.
- Investor L2 (ideal) contribution sized at ~\$111,000-140,000, representing properly funded capital for Pilot 2 and Production Readiness.
- S3 timing: investor arrives right after Pilot 1 completes (M5-M6).
- All INR conversions at 1 USD = 83 INR per params.md.
- FX buffers of 10-15% applied to ETB and KES revenue projections.

End of S3-O3-I2 scenario. All assumptions trace to params.md v2.